TCS Performance Management, GEMS & Career Development

CATEGORY	Talent Development | Performance Management	EFFECTIVE DATE	January 1, 2026	REVIEW CYCLE	Annual Tata Corporate Audit

Article 1. Performance Management Philosophy & Balanced Scorecard Architecture

1.1 Annual Appraisal Cycle, Balanced Scorecard & Key Result Areas (KRAs)

Tata Consultancy Services (TCS) fosters an environment of meritocracy, continuous professional growth, customer centricity, and technical innovation. The Performance Management System is designed to align individual associate contributions with organizational strategic priorities, customer delivery commitments, and the Tata values of excellence and pioneering leadership. The performance cycle operates across the financial year (April 1 to March 31), comprising Annual Goal Setting, Mid-Year Reviews, Continuous Feedback, and the Annual Appraisal Assessment.

Associate performance is evaluated using a comprehensive Balanced Scorecard structured across four strategic dimensions: Business & Delivery Excellence (milestone adherence, code quality, defect density); Customer Success (client satisfaction ratings, stakeholder feedback); Competency & Innovation (iEvolve learning hours, technology certifications, patent filings); and Process & TCoC Compliance (adherence to delivery frameworks, security standards, and 85% in-office turnstile attendance).

Scorecard Dimension	Performance Metric & KPI	Weightage Range	Evaluation Mechanism
Business & Delivery Excellence	SLA compliance, delivery velocity, zero critical defects	35% - 45% Weightage	PMS Metrics & JIRA Deliverables
Customer Centricity & CSAT	Client feedback scores, proactive value adds, stakeholder NPS	20% - 25% Weightage	Quarterly Client CSAT Audits
Competency & Continuous Learning	40+ iEvolve learning hours, T-Factor score, digital badges	15% - 20% Weightage	iEvolve Learning Records
Process & TCoC Compliance	ISMS adherence, turnstile RTO compliance, timecard accuracy	15% - 20% Weightage	Automated Turnstile & Audit Logs

- Goal setting must be completed on Ultimatix by May 15th for the active financial year in consultation with the project manager.
- Mid-Year Reviews conducted in October assess progress against milestones and provide structured coaching to course-correct.
- Performance ratings directly influence Annual Merit Increments, Quarterly Performance Pay (QPP), and grade progression.

PERFORMANCE EXCELLENCE PHILOSOPHY:
Performance evaluation at TCS is an objective, transparent, and continuous process. Objective metrics and peer collaboration ensure every associate has a clear pathway to high achievement and career fulfillment.

Article 2. 5-Tier Relative Rating Distribution, Calibration Governance & GEMS Framework

2.1 5-Point Rating Scale, Guided Normalization Curve & Calibration Committee Oversight

To ensure absolute fairness, equity, and consistency across diverse global business units, engineering practices, and client accounts, TCS utilizes a standardized 5-Tier Relative Performance Rating Scale. Ratings are finalized through structured Normalization and Calibration Committees comprising Delivery Center Heads, Unit HR Leaders, and independent moderation panels.

The rating distribution follows a guided performance curve: Band A (Top 10-15%: Outstanding Role Model); Band B (30-40%: Consistently Exceeds Expectations); Band C (35-45%: Meets Expectations / Solid Contributor); Band D (5-10%: Partially Meets Expectations / Needs Development); and Band E (< 5%: Unsatisfactory Performance). Calibration committees review peer group metrics to eliminate evaluator leniency or bias before finalizing annual ratings in Ultimatix GEMS.

Rating Band / Level	Performance Standard Definition	Guided Distribution	Compensation & Growth Impact
Band A (Outstanding)	Role model performance; exceptional delivery & innovation	10% - 15% of Unit	Maximum increment, top QPP & fast-track promotion
Band B (Exceeds Expectations)	Consistently surpasses project SLAs; proactive contributor	30% - 40% of Unit	Strong increment, standard QPP & promotion eligibility
Band C (Meets Expectations)	Reliable delivery of assigned responsibilities; valued peer	35% - 45% of Unit	Market increment, standard QPP payout
Band D (Needs Development)	Inconsistent performance; misses delivery deadlines	5% - 10% of Unit	Minimal increment; mandatory Performance Improvement Plan
Band E (Unsatisfactory)	Fails critical delivery commitments; quality defects	< 5% of Unit	Zero increment; strict PIP or separation review

- Individual ratings are confidential between the associate, reporting manager, and corporate HR.
- Associates rated Band A or Band B are prioritized for high-visibility international projects and global client deputations.
- Associates dissatisfied with their appraisal rating may log a formal appeal with the Regional Talent Grievance Council within 14 days.

CALIBRATION FAIRNESS & OBJECTIVITY MANDATE:
Calibration committees ensure that high performance is recognized equitably across all technology practices. Objective deliverables, customer testimonials, and technical certifications substantiate all rating allocations.

Article 3. iEvolve Learning Framework, T-Factor Competency & Digital Badging

3.1 40-Hour Annual Learning Mandate, T-Factor Readiness & Competency Assessments

In an era of rapid technological disruption, generative AI advancement, cloud modernization, and evolving client ecosystems, continuous upskilling is essential for sustained professional relevance. Under the TCS iEvolve Learning Framework, every associate is required to complete a minimum of 40 verified learning hours per financial year across approved technical, architectural, domain, and professional development programs.

TCS tracks associate technological readiness through the proprietary T-Factor Score, which measures multi-technology versatility, deep contextual knowledge, and mastery of emerging digital skills (Cloud, AI/ML, Cybersecurity, Enterprise Agility). Achieving a high T-Factor score is a mandatory prerequisite for promotion to senior

engineering and leadership bands. Associates who complete external industry certifications (AWS, Azure, GCP, PMP, TOGAF) receive corporate reimbursement and milestone bonuses.

Learning Pillar	Mandatory Annual Requirement	Evaluation Metric	Career Development Benefit
Annual Learning Hours	Minimum 40 Verified Hours / Year	iEvolve Automated Course Tracking	Mandatory gate for annual appraisal
T-Factor Competency Score	Target T-Factor >= 1.5 - 2.5 by Band	Multi-skill technology assessment	Mandatory eligibility for promotion
Digital Badges / Milestones	Completion of specialized learning paths	Verifiable digital credentials	Priority allocation to flagship accounts
External Industry Certifications	Hyperscaler & professional credentials	Corporate fee reimbursement	Direct milestone incentive bonuses
Leadership Development	Executive modules for Bands C3+	TCS Leadership Institute (TLI)	Preparation for Delivery Manager roles

- iEvolve offers on-demand access to 10,000+ courses, virtual cloud labs, interactive sandboxes, and expert masterclasses.
- Completing mandatory statutory modules (TCoC, ISMS, POSH, Anti-Bribery) does not count toward the 40-hour technical requirement.
- Associates are entitled to dedicated learning hours during non-peak project hours with manager concurrence.

IEVOLVE LIFELONG LEARNING COMMITMENT:
Upskilling is central to the TCS associate value proposition. Continuous learning empowers our associates to remain industry leaders, drive digital innovation, and deliver extraordinary business outcomes for global customers.

Article 4. Performance Improvement Plan (PIP) & Performance Enablement Framework

4.1 Structured 30-to-60 Day PIP, Weekly Milestones, Mentorship & Review Governance

TCS is committed to supporting associates experiencing temporary performance challenges through structured performance enablement and professional coaching. Associates whose delivery velocity, technical quality, or appraisal rating falls into Band D or Band E are placed on a structured Performance Improvement Plan (PIP) designed to clarify role expectations, identify skill gaps, and provide intensive supervisory mentoring to restore performance to expected standards.

The PIP operates for a structured duration of 30 to 60 calendar days. At the commencement of the PIP, a formal document outlining specific, measurable weekly deliverables, quality benchmarks, and turnaround milestones is drafted jointly by the Project Manager and Unit HR Specialist. The associate is paired with a designated senior technical mentor, and formal progress reviews are conducted weekly. If the associate demonstrates sustained improvement, the PIP is successfully concluded; failure to meet required benchmarks results in role reassignment or separation for performance incapacity.

PIP Stage / Milestone	Timeframe / Cadence	Responsible Stakeholders	Outcome & Evaluation Criteria
PIP Initiation & Goal Setting	Day 1 of Enablement Window	Project Manager, Unit HR & Associate	Signoff on weekly milestones & SLAs
Weekly Mentoring Reviews	Every Friday during PIP Window	Designated Mentor & Associate	Objective review of completed tickets & code
Mid-Term HR Checkpoint	Day 15 (30-day) or Day 30 (60-day)	Unit HR Specialist & Delivery Lead	Formal evaluation of trajectory and progress
Final Performance Evaluation	Day 30 / Day 60 (Conclusion)	Delivery Centre Head & HR Panel	Comprehensive assessment against benchmarks
Successful Exit / Resolution	Upon meeting all milestones	Unit HR Signoff	Re-instatement to regular project standing

- Associates placed on PIP must participate constructively in all scheduled mentoring sessions and code reviews.
- Turnstile attendance must remain at 100% compliance during the active PIP window; unapproved absences extend or terminate the plan.
- Associates unable to meet PIP benchmarks receive statutory notice pay and severance in accordance with their employment agreement.

OBJECTIVE & TRANSPARENT ENABLEMENT:
The Performance Improvement Plan is a genuine development opportunity designed to restore professional success. All milestones are transparent, objective, and supported by dedicated managerial guidance.

Article 5. Career Ladders, Technical Specialization Tracks & Promotion Cycles

5.1 Dual-Track Career Progression, Technical Fellowships & Annual Promotion Windows

TCS provides dynamic, multi-dimensional career paths that empower associates to achieve leadership excellence according to their individual passions and professional talents. Career progression is structured around two parallel, equally valued tracks: the Technical / Architecture Track (for software engineers, systems specialists, solutions architects, and Chief Technology Officers) and the Delivery / Management Track (for project managers, delivery leads, business relationship managers, and business unit heads).

Annual promotions are evaluated during the April appraisal cycle by the Regional Talent Review Board. Eligibility criteria require a minimum tenure of 2 to 3 years in the current grade, consistent Band A or Band B performance ratings over the preceding two cycles, achievement of required T-Factor competency thresholds, 85% in-office turnstile attendance compliance, and completion of mandatory leadership development milestones on iEvolve. High-potential associates may be recommended for fast-track out-of-turn promotions.

Career Progression Track	Grade Hierarchy Progression	Core Focus & Key Competencies	Key Evaluation Criteria
Engineering & Architecture	ASE -> SE -> ITA -> Specialist -> Chief Architect	Hands-on code mastery, architecture, patents	Technical rigor, certifications & T-Factor
Delivery & Operations Track	Project Lead -> PM -> DM -> Practice Lead	Client governance, P&L;, agile delivery velocity	CSAT, delivery margins & SLA track record
Domain & Business Consulting	Associate Consultant -> Senior Consultant -> Partner	Industry domain expertise (BFSI, Retail, Health)	Business development, thought leadership
Fast-Track Out-of-Turn Track	Accelerated 1-Year Grade Jump	Exceptional patent / client transformational value	Executive Leadership Board approval

- Promotion recommendations are initiated by delivery managers in Ultimatix GEMS and moderated by the Talent Review Board.
- Promoted associates receive revised compensation bands, new corporate designations, and enhanced variable pay ceilings.
- TCS promotes diversity and inclusion in all leadership talent pipelines, ensuring equitable representation across all practices.

UNLIMITED GLOBAL CAREER HORIZONS:
With operations across 55 countries and a global workforce of over 600,000 associates, TCS offers unmatched opportunities for cross-geography mobility, multidisciplinary career transitions, and visionary leadership development.

Document Governance, Audit History & Tata Code of Conduct Authorization

Revision	Release Date	Author / Department	Summary of Regulatory Changes
v1.0	Jan 15, 2024	TCS Global HR Taskforce	Initial codification of associate policies aligned with Tata Code of Conduct (TCoC) and statutory labor standards.
v2.0	Nov 10, 2024	Corporate Ethics & Compliance	Updated statutory maternity/paternity protections, POSH ICC inquiry guidelines, and bereavement leave rules.
v3.0	Jan 01, 2025	TCS Total Rewards Council	Bouquet of Benefits (BoB) tax optimization, NPS corporate Tier 1 integration, and TCS Health Insurance Scheme (TCS-HIS) enhancement.
v4.0	Oct 15, 2025	Delivery Operations & Workplace	Codified 5-day return-to-office (RTO) attendance linkage with quarterly performance pay (QPP) and Secure Borderless Workspaces (SBWS).
v6.0	Jan 01, 2026	Chief Human Resources Officer & Legal	Annual consolidation. ISO 27001 ISMS controls, Generative AI acceptable usage governance, and Ultimatix ESS automation.

Signatory Role	Authorized Representative	Approval Status	Digital Signature Hash
Chief Human Resources Officer (CHRO)	Milind Lakkad	APPROVED & RATIFIED	SHA256: 7f8a9b2c3d4e5f6a7b8c9d0e1f2a3b4c5d6e7f8a...tcs001
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